Depreciation, amortization, depletion

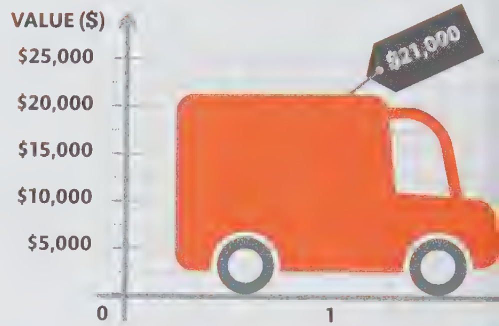
The cost of a company's assets and its use of natural resources can be deducted from its income for accounting and tax purposes. Depreciation, amortization, and depletion allow the company to spread this cost.

Calculating depreciation

A delivery company buys a van for $25,000. Over time, the vehicle will need to be replaced. The company can record the reduction in the value of the vehicle in its accounts as depreciation.

$$\frac{\text{PURCHASE VALUE} - \text{SCRAP VALUE}}{\text{USEFUL ECONOMIC LIFE (YEARS)}} = \text{ANNUAL DEPRECIATION (\$)}$$

$$\frac{\$25{,}000 - \$5{,}000}{5} = \$4{,}000$$

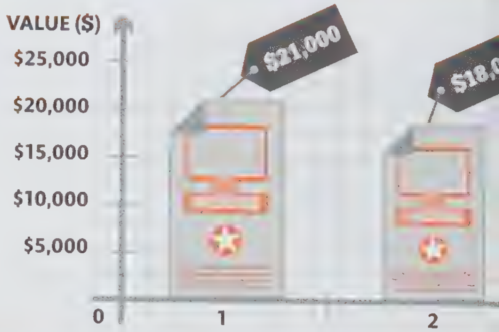


Calculating amortization

A company buys the patent for a computer design. The initial cost of this intangible asset can be gradually written off over several years and can be used to reduce the company's taxable profit.

$$\frac{\text{INITIAL COST}}{\text{USEFUL LIFE}} = \text{ANNUAL AMORTIZATION (\$)}$$

$$\frac{\$21{,}000}{7} = \$3{,}000$$



Calculating depletion

A forestry company knows that it has a finite number of trees. Depletion records the fall in value of the forest with its remaining reserves, as the product—wood pulp—is extracted over time.

$$\frac{\text{COST} - \text{SALVAGE VALUE}}{\text{TOTAL UNITS}} \times \text{UNITS EXTRACTED} = \text{DEPLETION EXPENSE (\$)}$$

$$\frac{\$10{,}000{,}000 - \$1{,}000{,}000}{60{,}000} \times 6{,}000 = \$900{,}000$$